

Electricity Regulatory Commission Act, 2017

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 16

Electricity Regulatory Commission Act, 2074

Certification and Publication Date

2074.05.19

Amending Acts

1. Act to Amend Some Nepal Acts to Make them Consistent with the Constitution of Nepal, 2075 2075.11.19
2. Act to Amend Some Nepal Acts, 2082 2082.04.14

Act Number 13 of the year 2074

An Act Made to Make Provision Relating to the Electricity Regulatory Commission

Preamble: Whereas, it is desirable to establish an Electricity Regulatory Commission to make electricity generation, transmission, distribution, or trade simple, regular, systematic, and transparent, to maintain a balance between the demand and supply of electricity, to regulate electricity tariffs, to protect the rights and interests of electricity consumers, to make the electricity market competitive, and to make electricity service reliable, universally accessible, of quality, and safe;

Now, therefore, the Legislature-Parliament, in accordance with sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Electricity Regulatory Commission Act, 2074."
- (2) This Act shall commence on the ninety-first day from the date of its certification.
2. Definitions: Unless the subject or context otherwise requires, in this Act,-
 - (a) "Chairperson" means the Chairperson of the Commission.
 - (b) "Licensee" means a person or an incorporated body obtaining a license in accordance with the prevailing law to generate, transmit, distribute, or trade electricity.
 - (c) "Commission" means the Electricity Regulatory Commission established pursuant to Section 3.
 - (d) "Consumer" means a person or entity consuming electricity.
 - (e) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.
 - (f) "Ministry" means the Ministry of Energy, Water Resources, and Irrigation.
 - (g) "Tariff" means the electricity price, tariff, fee, and other charges payable by the consumer to the distribution licensee for the consumption of electricity services.

(h) "Electricity" means electricity generated from water, mineral oil, coal, gas, solar, wind, nuclear, biological substances, or any other source.

(i) "Secretary" means the employee working as the Secretary of the Commission pursuant to Section 32.

(j) "Member" means a Member of the Commission, and the said term also includes the Chairperson.

Chapter-2

Establishment and Formation of the Commission

3. Establishment of the Commission: (1) An Electricity Regulatory Commission is established as the regulatory body to regulate electricity generation, transmission, distribution, or trade.

(2) The central office of the Commission shall be located in Kathmandu Valley, and the Commission may open branch offices in other places of Nepal as required. 4.

Commission to be an Autonomous and Corporate Body: (1) The Commission shall be an autonomous and corporate body with perpetual succession. (2) The Commission shall have a separate seal for its business. (3) The Commission may acquire, use, sell, or otherwise manage movable and immovable property like an individual. (4) The Commission may institute legal proceedings in its name like an individual, and legal proceedings may also be instituted against the Commission in the same name. (5) The Commission may enter into contracts and exercise rights and discharge liabilities under such contracts like an individual. 5.

Formation of the Commission: (1) The Commission shall be formed as follows:- (a) A person appointed by the Government of Nepal from among persons who have served in a Special Class gazetted post of the Government of Nepal or who have obtained at least a master's degree in Economics, Commerce, Management, Accountancy, Law, or Engineering and have at least twenty years of work experience in the field related to such subject - Chairperson (b) Four persons appointed by the Government of Nepal from among persons who have obtained at least a master's degree in Economics, Commerce, Management, Accountancy, Law, or Engineering and have at least fifteen years of work experience in the field related to such subject - Members (2) While appointing the Chairperson and Members pursuant to sub-section (1), it shall be done on the basis of the principle of proportional inclusion, including at least one woman. (3) A notice of the appointment of the Chairperson and Members shall be published in the Nepal Gazette. 6. Disqualification: Notwithstanding anything contained in Section 5, the following person shall not be qualified for appointment or to continue in the office of the Chairperson or Member:- (a) A non-Nepali citizen, (b) A person who has obtained a permanent residency permit of a foreign country, (c) A person who has been punished for an offense relating to corruption, rape, human trafficking and transportation, narcotic drug dealing, money laundering, passport misuse, abduction, or other criminal offense involving moral turpitude, (d) A person who has been blacklisted pursuant to the prevailing law or from whose date of removal from such list at least three years have not elapsed, (e) A person who, or whose member of the immediate family, is involved as a founder, managerial level personnel, shareholder, director, auditor, or advisor of any company or its subsidiary company, firm, or entity involved in electricity generation, transmission, distribution, or trade, or from whose date of separation from such status at least three years have not elapsed.

Explanation: For the purpose of this clause, "shareholder" means a person holding ownership of at least one percent of the shares of the concerned company.

(f) A person who has been punished for an offense relating to electricity generation, transmission, distribution, or trade and from whose date of completion of punishment three years have not elapsed,

(g) A sitting employee of the Government of Nepal, a Provincial Government, a Local Level, or a corporate body owned by the Government of Nepal, Provincial Government, or Local Level, or a Licensee,

(h) A person who has been declared insolvent due to inability to repay debts to creditors,

(i) A person who is a member or office bearer of any political party. 7. Appointment of Chairperson and Members: (1) The Government of Nepal shall appoint the Chairperson and Members of the Commission on the recommendation of the committee constituted as follows:-

(a) Secretary, Ministry - Coordinator

(b) One electricity expert nominated by the Ministry - Member

(c) A gazetted First Class officer designated by the Ministry - Member-Secretary

(2) For the purpose of recommending candidates for appointing Chairperson and Members, the committee pursuant to sub-section (1) shall publish a public notice calling for applications along with personal details from interested candidates, providing a period of at least fifteen days.

(3) The committee pursuant to sub-section (1) shall recommend the names of suitable persons from among the applicants pursuant to sub-section (2) to the Government of Nepal within twenty-one days of the expiry of the application deadline. While making such recommendation, in the case of Members, the names of persons from different subjects as per clause (b) of Section 5 shall be recommended. Provided that, if sufficient candidates from different subjects are not available, more than one person from the same subject may also be recommended.

(4) The meeting of the committee pursuant to sub-section (1) shall be chaired by the Coordinator of such committee, and the presence of the Coordinator and one Member shall be deemed to constitute the quorum for the meeting of the committee.

(5) In a meeting of the committee pursuant to sub-section (1), the opinion of the majority shall prevail, and in case of a tie, the person chairing the meeting shall cast the deciding vote.

(6) Other procedures relating to the basis and process for recommending candidates for Chairperson and Members and meetings shall be as determined by the committee itself.

(7) The meeting allowance for the Coordinator and Members of the committee pursuant to sub-section (1) shall be as determined by the Ministry of Finance. 8.

Term of Office: The term of office of the Chairperson and Members shall be five years, and they may be reappointed for one additional term. 9. Removal from Office: (1) If the Chairperson or any Member is found to have lacked work capacity, exhibited misconduct, become disqualified pursuant to Section 6, or failed to discharge their official duties under this Act, the Government of Nepal shall constitute an investigation committee to investigate such matter. (2) The investigation committee pursuant to sub-section (1) shall investigate the matter concerning the accused Chairperson or Member and submit a report along with its opinion to the Government of Nepal. (3) While investigating pursuant to sub-section (2), the investigation committee pursuant to sub-section (1) shall provide a reasonable opportunity to the accused Chairperson or Member to present their defense. (4) If the investigation committee pursuant to sub-section (1) recommends removing the Chairperson or Member from office, the Government of Nepal shall remove such Chairperson or Member from office. (5) After the initiation of investigation proceedings under this Section, such Chairperson or Member shall not be allowed to perform the duties of their office until a final decision is made

on the subject of such investigation. (6) The remuneration and other facilities for the Chairperson or Members of the investigation committee constituted pursuant to sub-section (1) shall be as determined by the Government of Nepal. 10. When Office Deemed Vacant: The office of the Chairperson or Member shall be deemed vacant in the following circumstances:- (a) If their resignation submitted to the Government of Nepal from their office is accepted, (b) If they do not possess or no longer possess the qualification as per Section 5, (c) If their term of office expires as per Section 8, (d) If they are removed from office by the Government of Nepal as per Section 9, (e) If they die. 11. Meeting of the Commission: (1) A meeting of the Commission shall be held at least once a month. (2) A meeting of the Commission shall be held on the date, time, and place specified by the Chairperson, and in case the office of the Chairperson is vacant, by the senior-most Member. Provided that, if at least two Members make a written request to call a meeting of the Commission, the Chairperson, or in their absence, the senior-most Member, shall call a meeting of the Commission within seven days. (3) The Secretary shall provide the Members with an agenda for discussion at the meeting at least twenty-four hours before the meeting is held. (4) The meeting of the Commission shall be chaired by the Chairperson, and in their absence, by the senior-most Member present.

Explanation: For the purpose of this Section, "senior-most Member" means the Member who is earlier in the order of appointment.

(5) The presence of three Members shall be deemed to constitute the quorum for a meeting of the Commission.

(6) In a meeting of the Commission, the opinion of the majority shall prevail, and in case of a tie, the person chairing the meeting shall cast the deciding vote.

(7) The Commission may invite experts on the relevant subject to the meeting as required.

(8) The Commission shall arrange a separate register for recording decisions, and each decision shall be recorded in such register and signed by all Members present at the meeting.

(9) Other procedures relating to meetings of the Commission shall be as determined by the Commission itself. Chapter-3

Functions, Duties, and Powers of the Commission

12. To Undertake Technical Management: The Commission shall perform the following functions for technical management to regulate electricity generation, transmission, distribution, or trade:-

- (a) Prepare, implement, and monitor the Grid Code and Distribution Code related to electricity services.
- (b) Determine and implement the level and procedures for the operation and maintenance of electricity services.
- (c) Develop and enforce necessary standards to maintain the quality and safety level of the national electricity system.
- (d) Determine the responsibilities of the electricity system operator and monitor their implementation.
- (e) Determine the conditions, basis, and priority for discontinuing electricity services.
- (f) Prepare and implement, or cause to be implemented, a least-cost expansion plan for internal demand and supply of electricity services. 13.

To Determine Tariff and Regulate Electricity Purchase and Sale: (1) The Commission shall perform the following functions regarding tariff determination and regulation of electricity purchase and sale:- (a) Taking into consideration operating costs, depreciation rates, repayment of principal and interest, maintenance costs, construction, reconstruction, restoration of electricity infrastructure, annual return on equity investment, as well as power purchase agreements, determine the terms and bases for electricity tariff rate determination, and based on that, determine the tariff payable by the consumer. (b) Until a wholesale market for electricity purchase and sale is established, determine the electricity purchase and sale rates and procedures between a distribution licensee and a generation licensee or a trade licensee or a corporate body established by the Government of Nepal pursuant to the prevailing law. (c) Grant consent for power purchase agreements between licensees for the purchase and sale of generated electricity. (d) Identify and implement necessary measures to minimize the cost of electricity prices. (e) Determine transmission and distribution charges (wheeling charges). (f) Determine surcharges on electricity tariffs for a specific period in matters related to electricity services under special circumstances. (2) The Commission shall complete tariff determination pursuant to sub-section (1) within sixty days from the date of receipt of all relevant documents. (3) After determining the tariff pursuant to sub-section (1), the Commission shall publish a notice in a national-level newspaper. (4) Electricity tariffs shall not be redetermined within one year from the date of tariff determination under this Section. 14.

To Promote Competition and Protect Consumer Interest: The Commission shall perform the following functions to promote competition in the electricity market and protect consumer interests:- (a) Identify and implement or cause to be implemented necessary measures for the protection of consumer interests. (b) Promote an environment of competition in electricity purchase and sale rates. (c) Identify and cause to be implemented necessary measures to promote competition in electricity tariff rates among licensees. (d) Make provisions to prevent syndicates in electricity tariff rates. (e) Determine the establishment, operation, and purchase and sale procedures for the wholesale electricity market. (f) Develop and implement, or cause to be implemented, necessary standards for licensees to merge, amalgamate, independently or jointly with their subsidiary companies, to purchase fifty percent or more of the shares of the company of such person, or for the sale of plants, acquisition, or takeover of infrastructure. (g) Grant consent for licensees to merge, undertake sale of plants, acquisition, or takeover among themselves. (h) Prescribe conditions to be followed while trading electricity and conduct regular monitoring thereof. (i) Conduct or cause to be conducted timely inspections and tests to maintain the quality of electricity flowing through transmission lines. (j) Make provisions for open access to the electricity system. 15. To Enhance Organizational Capacity: The Commission shall perform the following functions to enhance the organizational capacity of licensees and ensure institutional good governance:- (a) Determine the level and basis for evaluating the work efficiency of licensees. (b) Prepare and implement a code of conduct to regulate the activities of licensees. (c) Encourage licensees to promote, expand, and diversify the electricity market. (d) Develop and implement standards to maintain uniformity in the internal control, accounting system, and audit methods of licensees. (e) Determine matters that office bearers of the board of directors and other office bearers of licensed corporate bodies must disclose to such body and ensure compliance. (f) Conduct surprise inspections of the accounting system of licensees as required. (g) Give necessary directives and issue standards to ensure good governance in the operations of licensees. 16. To Provide Policy Advice and Recommendations: The Commission shall provide necessary advice and suggestions to the Government of Nepal regarding policy improvements needed to make the management of electricity generation, transmission, distribution, or trade reliable and effective. 17.

To Conduct Inquiries and Inspections: (1) The Commission may conduct or cause to be conducted necessary

inquiries and inspections regarding whether a licensee is functioning in accordance with this Act, rules, regulations, directives, or standards made under this Act, other prevailing laws, or conditions stipulated while granting the license. (2) While conducting inquiries and inspections pursuant to sub-section (1), accounts, records, details, etc., may be requested from the licensee, or on-site inquiries and inspections may be conducted. (3) The official or employee conducting inquiries and inspections pursuant to sub-section (1) or (2) shall prepare a report thereof and submit it to the Commission, and based on such report, the Commission may issue necessary orders and directives to the concerned licensee. (4) If the licensee fails to comply with the orders and directives issued pursuant to sub-section (3), the Commission may impose a fine on such licensee pursuant to sub-section (1) of Section 19. 18. To Resolve Disputes: (1) The Commission shall have the authority to resolve disputes arising on the following matters:- (a) Disputes relating to electricity arising among licensees, (b) Matters where a party expresses dissatisfaction with a decision made by a licensee or claims compensation for loss suffered due to an act of the licensee. (2) In relation to a dispute or matter pursuant to sub-section (1), a licensee or consumer may file a complaint with the Commission, and upon receipt of such complaint, the Commission shall conduct a hearing and decide within ninety days. (3) While conducting proceedings and disposing of complaints filed with the Commission, the Commission shall have the authority to perform the following acts, similar to a court under the prevailing law:- (a) Summon any person before the Commission to obtain statements or information, (b) Examine witnesses, (c) Order the submission of any document or paper available in any agency of the Government of Nepal, Provincial Government, or Local Level, or public institution, (d) Conduct or cause to be conducted on-site inspections and order the submission of evidence. (4) A person dissatisfied with a decision made by the Commission pursuant to sub-section (2) may appeal to the High Court, Patan within thirty-five days from the date of such decision. (5) Notwithstanding anything contained in sub-section (1), if there is a separate provision for dispute resolution in an agreement between licensees on matters related to electricity generation, transmission, distribution, or trade, such dispute shall be resolved in accordance with that agreement. 19.

Power to Impose Fines: (1) The Commission may impose a fine of up to five hundred thousand rupees on a licensee who fails to comply with orders or directives under sub-section (3) of Section 17, a decision under sub-section (2) of Section 18, or any matter under this Act or rules made under this Act, or who disrupts or causes disruption to electricity services without prior notice. (2) Amounts fined pursuant to sub-section (1) shall be deposited in the Consolidated Fund of the Government of Nepal. (3) The amount paid as a fine pursuant to sub-section (1) shall not be included as an expense or investment of the licensee for the purpose of tariff determination. (4) A licensee dissatisfied with a fine imposed by the Commission pursuant to sub-section (1) may appeal to the High Court, Patan within thirty-five days from the date of such fine. 20.

Power to Levy Service Charges: The Commission may levy service charges as prescribed from licensees on the following matters:- (a) When approving the Grid and Distribution Codes, (b) When determining wholesale electricity purchase and sale rates, (c) When granting consent to power purchase agreements, (d) When determining transmission and distribution charges (wheeling charges) and other tariffs or fees, (e) When granting consent for licensees to merge, undertake sale of plants, acquisition, or takeover among themselves, (f) When resolving disputes pursuant to Section 18, Provided that a domestic consumer shall not be required to pay any fee when filing a complaint. (g) Other matters specified by the Commission. 21. To Conduct Public Hearing: (1) The Commission shall conduct a public hearing as prescribed before determining tariffs pursuant to Section 13. (2) The Commission may also arrange for public hearings on other matters related to its business as necessary. (3) The Commission shall maintain records of the public hearing conducted pursuant to sub-section (1) or (2). 22. Provision Relating to Review: (1) If any person or entity deems that a decision of the Commission should be reviewed, they may submit an application to the

Commission for review along with necessary documents within fifteen days from the date of knowledge of such decision.

Provided that this provision shall not apply to decisions made by the Commission to impose a fine under Section 19. (2) Upon receipt of an application pursuant to sub-section (1), the Commission shall decide within fifteen days to uphold or amend the original decision. (3) If the Commission decides to amend the original decision pursuant to sub-section (2), it shall order that the original decision not be implemented. (4) Notwithstanding anything contained elsewhere in this Act, if information is received from any source that a licensee has submitted false documents or concealed any documents, or if additional documents are received, the Commission may make a fresh decision on such matter.

Chapter-4 Functions, Duties, Rights, and Facilities of Chairperson and Members

23. Functions, Duties, and Rights of Chairperson: The functions, duties, and rights of the Chairperson shall be as follows:- (a) To act as the administrative chief of the Commission, (b) To regulate, monitor, supervise, and evaluate the business of the Commission and give necessary directives to the concerned parties, (c) To organize the meetings of the Commission, (d) To perform other functions as prescribed.

24. Functions, Duties, and Rights of Members: (1) A Member shall be a full-time officer of the Commission. Inserted by the Act to Amend Some Nepal Acts, 2082.(1A) If the office of the Chairperson falls vacant, or if the Chairperson is suspended pursuant to the prevailing law, or goes on leave for more than seven days, or is unable to attend the Commission due to being outside Nepal, the senior-most Member of the Commission shall officiate as the Acting Chairperson of the Commission. (2) A Member shall perform and exercise the functions, duties, and rights as specified by the Commission and the Chairperson.

25. Service, Terms, and Facilities of Chairperson and Members: (1) The Chairperson shall be a full-time chief officer of the Commission. (2) The remuneration, facilities, and other terms of service for the Chairperson and Members shall be as prescribed. (3) Until arrangements are made pursuant to sub-section (2), the remuneration and other facilities of the Chairperson shall be as determined by the Government of Nepal. (4) If the Chairperson or Member has made any decision on a matter related to a licensee while serving in the Commission, such person shall not be involved in any manner with that licensee for a period of one year from the date of retirement from the Commission.

Explanation: For the purpose of this Section, "involvement" means a situation of working as a director, employee, expert, or consultant of a licensee on a permanent, temporary, contractual, or agreement basis.

26. To Take Oath: Before assuming office, the Chairperson shall take an oath of office and secrecy before the Minister of the Ministry, and a Member shall take an oath before the Chairperson, in the format of the Schedule. Amended by the Act to Amend Some Nepal Acts, 2082. Inserted by the Act to Amend Some Nepal Acts, 2082.Provided that, if the Chairperson is under suspension and no Member is in office, a newly appointed Member shall take the oath before the Minister of the Ministry.

27. To Provide Information: (1) The Chairperson and Members shall provide written information to the Commission within thirty days of their appointment on the following matters:-

(a) Details of the profession, employment, or business in which they were engaged prior to appointment as Chairperson or Member, and the office thereof,

(b) Whether they or any member of their family are or are not shareholders of any licensee, and if they are shareholders, details of the number of shares held, and whether they have any kind of financial interest in such licensee,

(c) Whether they or any member of their family have or have not been a director, office bearer, advisor, employee, or auditor of any licensee within the last three years,

(d) Details of any possible situation that may appear to affect their interest with any licensee at the time of providing information to the Commission under this Section.

(2) The Commission shall send a copy of the information provided under sub-section (1) to the Office of the Prime Minister and Council of Ministers, Government of Nepal, and the Office of the Prime Minister and Council of Ministers shall maintain records thereof. 28.

Prohibition of Abuse of Regulatory Opportunity: (1) No person who is an employee, auditor, advisor, representative of the Commission, or any person working under contract with the Commission, or any member of a firm or company working under contract with the Commission, shall disclose any confidential information obtained in the course of performing official duties on behalf of the Commission, or reveal the source thereof, to any other person except in circumstances where such information is required to be provided by law. (2) Officials specified in sub-section (1) shall not use or cause to be used any confidential information obtained in the course of performing official duties for the benefit, facility, concession, or advantage of themselves or any member of their family. (3) No person who is the Chairperson, Member, employee, auditor, advisor, representative of the Commission, or any person working under contract with the Commission, or any member of a firm or company working under contract with the Commission, while performing any official duty on behalf of the Commission, shall allow themselves, their family, or anyone else to take any kind of benefit, facility, concession, or advantage. (4) If any person commits any act contrary to sub-section (1), (2), or (3), it shall be deemed that such person has not acted in accordance with their official duties, and action shall be taken pursuant to the prevailing law. 29. Restriction on Decision-Making in Case of Conflict of Interest: (1) If any proposal involves a financial interest, personal interest, or business interest of the Chairperson, a Member, or any member of their family, and such proposal is to be discussed in a meeting of the Commission, such Member shall inform the Commission of such potential conflict of interest before the commencement of the meeting. (2) Such Member shall not participate in the meeting of the Commission where the matter under sub-section (1) is discussed. (3) If any decision is made contrary to sub-section (1) or (2), such decision shall not be applicable to the person with such interest. 30. To Observe Professional Conduct: (1) The Chairperson, Members, or employees or advisors of the Commission shall observe the prescribed professional conduct while serving in their office or after retirement. (2) The Chairperson, Members, and employees or advisors of the Commission shall always prioritize the interests of the Commission while performing duties in that capacity. Chapter-5 Staff of the Commission 31.

Provision Relating to Staff: (1) There shall be employees in the Commission in the number approved by the Government of Nepal for the operation of the Commission's work. (2) The Commission shall appoint employees as per the provisions in the regulations. (3) Notwithstanding anything contained in sub-section (2), the Commission may appoint necessary expert staff on a contract basis to perform its functions. (4) Notwithstanding anything contained elsewhere in this Section, until appointments of staff are made in the Commission, the Ministry may deploy any employee of the Government of Nepal to work in the Commission on deputation for a specified period. 32. Secretary of the Commission: The senior-most employee of the Commission shall serve as the Secretary of the Commission. Inserted by the Act to Amend Some Nepal Acts, 2082.32A. Power to Assign Responsibility to Secretary of the Commission: If the offices of the Chairperson and all Members of the Commission are vacant for a period exceeding three months, the Ministry may assign responsibility to the Secretary of the Commission for a maximum period of six months, allowing them to exercise the functions, duties, and powers of the Commission. Chapter-6 Fund and Audit 33.

Fund: (1) The Commission shall have a separate fund, and the following amounts shall be deposited in such fund:- (a) Amount received from the Government of Nepal, (b) Amount received from any person or

organization, (c) Amount received from foreign governments, persons, or international organizations, (d) Amount received as determined by the Commission, not exceeding one percent of the total annual income from electricity sales of the distribution licensee, (e) Amount received as determined by the Commission, not exceeding one percent of the total annual income from electricity trade of the licensee engaged in electricity trade, (f) Amount received as determined by the Commission, not exceeding one percent of the wheeling charges received by the licensee exporting electricity using the national grid, (g) Service charges received pursuant to Section 20, (h) Amount received from other sources. (2) Prior to receiving the amount pursuant to clause (c) of sub-section (1), the Commission shall obtain the approval of the Ministry of Finance. (3) The Commission shall open an account in a commercial bank of 'A' class licensed by Nepal Rastra Bank and deposit the amounts referred to in sub-section (1) in such account. (4) All expenses incurred on behalf of the Commission shall be borne from the amounts deposited in the fund pursuant to sub-section (1). (5) If the amount in the fund is insufficient for the operation of the Commission's work, the Ministry of Finance shall provide the necessary amount for that purpose. (6) If the amount deposited in the fund exceeds the prescribed limit, the Commission shall deposit such excess amount into the Consolidated Fund of the Government of Nepal. (7) The operation of the account of the fund pursuant to sub-section (1) shall be as determined by the Commission. 34. Accounts and Audit: (1) The accounts of income and expenditure of the Commission shall be maintained in the format adopted by the Government of Nepal. (2) The Commission shall maintain an internal control system as prescribed and shall have its income and expenditure audited. (3) The audit of the Commission shall be conducted by the Auditor General. (4) The Government of Nepal may, if it so desires, inspect or cause to be inspected the accounts and related books of income and expenditure of the Commission at any time. Chapter-7 Miscellaneous 35. To Provide Assistance: All concerned parties shall provide necessary assistance in conducting the business and implementing the decisions of the Commission. 36.

Power to Form Sub-Committee or Task Force: (1) The Commission may form a sub-committee or task force as required for any work to be done under this Act. (2) The functions, duties, rights, and procedures of the sub-committee or task force formed pursuant to sub-section (1), and the facilities to be received by the members of such sub-committee or task force, shall be as specified by the Commission. 37. Power to Give Directives: For the implementation of functions under this Act, the Commission shall give directives to licensees as necessary, and it shall be the duty of the concerned licensee to comply with such directives. 38. Annual Report: (1) The Commission shall prepare a report relating to its activities within three months of the expiry of each fiscal year and submit it to the Ministry. (2) The report pursuant to sub-section (1) shall include, among other things, the programs conducted by the Commission during the year, amounts received, costs incurred in conducting the programs, achievements from the programs, and improvements to be made in the future. (3) The Commission shall publish the report submitted pursuant to sub-section (1) publicly for the information of the general public. (4) A licensee shall prepare a report relating to its activities within three months of the expiry of each fiscal year and submit it to the Commission, along with the audit report. (5) The Commission may study the annual report submitted pursuant to sub-section (4) and give necessary directives to the licensee. (6) The summary of the annual report submitted pursuant to sub-section (4) shall be made public by the licensee. 39. Delegation of Powers: The Commission may, subject to this Act, delegate to the Chairperson, Member, Secretary, a sub-committee or task force formed pursuant to Section 36, or an officer-level employee of the Commission, as required, powers other than the powers to determine tariffs, grant consent for licensees to merge, undertake sale of plants, acquisition, or takeover, and resolve disputes, among the powers vested in it pursuant to this Act. 40. Contact with Government of Nepal: The Commission shall maintain contact with the Government of Nepal through the Ministry. 41. Power to Make Rules: The

Government of Nepal may make necessary Rules for the implementation of this Act. 42.

Power to Make Regulations: (1) The Commission may, subject to this Act and the rules made under this Act, make regulations and implement them on the following matters:- (a) Regarding the appointment, functions, duties, rights, qualifications, remuneration, facilities, and terms of service of employees, (b) Regarding complaints lodged for dispute resolution and the procedures for hearing and disposing of such complaints, (c) Other necessary matters relating to the internal functioning of the Commission. (2) Notwithstanding anything contained in clause (a) of sub-section (1), while making regulations regarding the appointment, remuneration, terms of service, and facilities of employees, and matters that impose additional financial liability on the Government of Nepal, the Commission shall obtain the approval of the Ministry of Finance. 43. Power to Make and Implement Directives, Standards, or Codes: The Commission may make and implement directives, standards, or codes on matters within its functions, duties, and jurisdiction, as long as they are not inconsistent with this Act, and the rules and regulations made under this Act. 44. Amendment, Repeal, and Saving: In the Electricity Act, 2049: (1) In Section 16, the words "as per Section 17" have been replaced by the words "as per the prevailing federal law relating to the Electricity Regulatory Commission." (2) Sections 17 and 18 are hereby repealed. (3) Electricity tariffs determined pursuant to Sections 17 and 18 shall be deemed to have been determined under this Act. Schedule (Relating to Section 26) Oath I,